

ical status of such bonds is rather confusing, the practical procedure called for is, obviously, to treat the interest thereon as part of the company's *fixed charges*, when dealing with the system as a whole.

II. GUARANTEED ISSUES

No special investment quality attaches to guaranteed issues as such. Inexperienced investors may imagine that the word "guaranteed" carries a positive assurance of safety; but, needless to say, the value of any guaranty depends strictly upon the financial condition of the guarantor. If the guarantor has nothing, the guaranty is worthless. In contrast with the attitude of the financial novice, Wall Street displays a tendency to *underestimate* the value of a guaranty, as shown by the lower prices often current for guaranteed issues in comparison with the debentures or even the preferred stock of the guarantor. This sophisticated distrust of guarantees dates back to the Kanawha and Hocking Coal and Coke Company case in 1915, when the guarantor railroad endeavored to escape its liability by claiming that the guaranty, made in 1901, was beyond its corporate powers and hence void. This attempt at evasion, encouraged by the outcome of antitrust suits in the Ohio and federal courts, in the end proved completely unsuccessful; but it cast a shadow over the value of all guarantees, from which they have not completely emerged even after 25 years.⁶ We know of no important case in which a solvent company has escaped the consequences of its guaranty through legal technicalities.⁷

interest was paid regularly from 1916 through 1938, despite the fact that the company entered receivership in 1931 and defaulted upon the junior-mortgage (fixed) interest in 1932. This issue was also given superior treatment in the various reorganization plans for the Wabash filed to the end of 1939.

⁶ See Appendix Note 29 for a condensed history of this famous case.

⁷ However, the shadowy form of "insolvency" provided for in Chap. XI of the Chandler (Federal Bankruptcy) Act has been availed of to induce holders of guaranteed issues to modify their contract without sacrifice by the guarantor company and to force acceptance of the modified terms by minority holders. *Example:* Modification of guaranty of Trinity Building 5¹/₂s by United States Realty and Improvement proposed in March 1939.

Contrast this with the full payment in October 1932 of the unpurchased portion of Savoy Plaza Corporation Debenture 5¹/₂s, which had also been guaranteed by United States Realty and Improvement. At that time unguaranteed *First Mortgage* bonds of Savoy Plaza had been selling as low as 5. Note also the full payment in 1939 of Utica, Clinton and Binghamton Railroad First 5s through funds supplied by Delaware and Hudson Railroad, the guarantor, although Delaware and Hudson had not been operating the line for a great many years.